

**Time:** 5 minutes**Outcome:** Analyze Short-Run Supply & Cost Shifts.**Difficulty:** ●●○ Intermediate

Short-Run Supply & Cost Shifts



THE CORE IDEA

For a competitive firm, short-run supply follows marginal cost (MC) at or above minimum average variable cost (AVC). Below minimum AVC, shutdown minimizes loss. Higher variable input costs shift MC and supply; higher fixed cost alone does not shift the short-run supply curve.



HOW TO RECOGNIZE IT

- Use the rising portion of marginal cost at and above minimum average variable cost as firm supply.
- A variable-input cost increase shifts marginal cost and short-run supply upward or left.
- A fixed-cost change shifts average total cost but leaves marginal cost and short-run supply unchanged.
- Distinguish a movement along supply caused by price from a shift caused by production conditions.

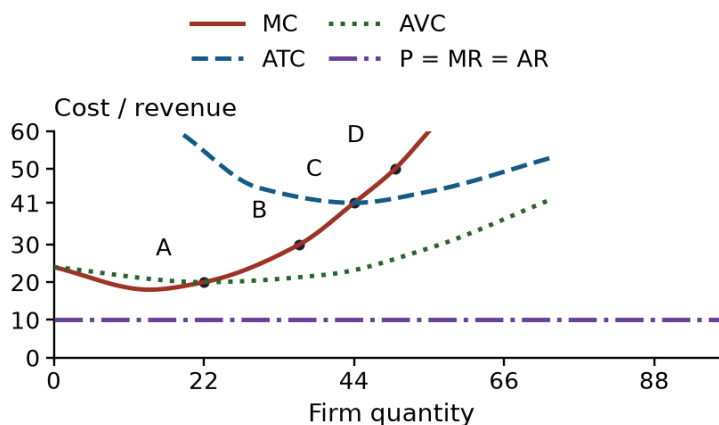


WATCH OUT

Do not assume fixed cost shifts supply. The short-run supply schedule depends on marginal and variable costs, not fixed cost. Fixed cost affects profit but not the short-run MC-above-AVC supply schedule.



WORKED EXAMPLE: READING SHORT-RUN FIRM SUPPLY



The firm's short-run supply curve is the portion of MC at and above minimum AVC, which begins at point A: 22 units and \$20. For example, if market price rises to \$30, the firm supplies the quantity at point B, about 36 units. MC below A is not part of supply because the firm shuts down.



CHECK YOURSELF

Which MC segment is competitive short-run supply?

**READY?**

Return to the game and master this concept.